



Qualification Programme Examination Panelist's Report

Module 7 – Financial Management (June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This was the fourth cohort to take the new QP Module 7 Examination. This section comprised ten multiple choice questions that tested basic knowledge of both financial management and managerial accounting fields.

In general, candidates' performance was satisfactory in Section A.

Specific Comments

Most of the candidates were unable to master the key concept of capital market efficiency. Only around one-tenth of the candidates correctly answered the question related to the extent of the capital market efficiency when investors employ technical analysis in making investment decisions in Question 2.

Less than half of the candidates were able to master the key concept of application of pricing strategy. Many candidates did not provide the correct answer for the pricing strategy that works for an innovative high-tech product with extremely high demand in Question 3.

Furthermore, many candidates did not master the key concept of sensitivity of bond price to changes in market interest rates. More than half of the candidates were unable to determine the correct coupon rate and term-to-maturity for the least sensitive bond in Question 8.

(II) Section B – Written Questions

General Comments

There were four case questions in Section B incorporating fundamental knowledge in finance and managerial accounting. Performance on Question 3, which covered typical questions on investment appraisal, was satisfactory.

Candidates' performance was less satisfactory on Question 1, with the questions mainly covering topics in strategic management, management accounting, and business plans.



Question 4 was the worst attempted question, as only a few candidates were able to obtain the correct answer for the internal growth rate and sustainable growth rate.

Candidates managed their time well during the examination, and most of the candidates were able to answer all parts of the four questions in Section B.

Specific Comments

Question 1(a) – 3 Marks

This question required candidates to explain the linkages between management accounting and strategic management in terms of developing corporate strategic plans. Most of the candidates were not able to identify the difference between management accounting and strategic management.

Question 1(b) – 3 Marks

This question required candidates to explain how a business plan can support entrepreneurs in establishing a successful business. Only a few candidates were able to mention that the business plan could facilitate the fund-raising activities of a company. None of the candidates were able to obtain full marks in this question.

Question 1(c)(i) – 4 Marks

This question required candidates to outline two basic components of the business plan. Many candidates were able to outline the executive summary of the mission or vision. Answers to the question were of variable quality. Although more than one-third of the candidates received full marks, one-third of the candidates failed to obtain any marks in this question.

Question 1(c)(ii) – 6 Marks

This question required candidates to evaluate the business idea to achieve a company's objective. The performance of the candidates was not satisfactory. Half of the candidates failed to obtain any marks in this question.

Question 1(d) – 4 Marks

This question required candidates to compute the present value of a new project. Performance was not satisfactory. Candidates were not familiar with the present value calculation with cash flows not starting from year one. Only around one-tenth of candidates were able to compute the correct value of the new project.



Question 2(a) – 6 Marks

This question required candidates to justify, without calculation, whether Peter's estimation of the cost of debt is correct or not. Candidates were able to point out that Peter's estimation was incorrect and the cost of debt should be lower as the interest expense should be tax-deductible. However, many candidates failed to mention that the cost of debt should comprise both current yield and capital gain yield.

Question 2(b) – 6 Marks

This question required candidates to justify, without calculation, whether Peter's conclusions on the calculation of the cost of ordinary shares and the same cost of using internal equity or external equity were correct. Similar to Question 2 (a), candidates were able to point out that Peter's conclusions were incorrect. However, many candidates were unable to comment that capital gain yield component was ignored in Peter's calculation. In addition, many candidates were unable to identify the cost difference between internal equity and external equity.

Question 2(c) – 4 Marks

This question required candidates to value the market price of the share of a company which will pay dividends every even number of years. Candidates were not familiar with this pattern of cash flows for present value calculation. Only around one-fifth of the candidates correctly computed the share price.

Question 3(a) – 10 Marks

This question required candidates to compute the accounting rate of return (ARR) for two competing projects and determine which project should be accepted. The performance of the candidates was not satisfactory. Some candidates were not very clear on the concept of ARR. A few candidates even mixed it up with the IRR calculation.

Question 3(b) – 5 Marks

This question required candidates to compute the net present values for two competing projects and determine which project should be accepted. The performance of the candidates was much better in this question than 3(a). More than half of the candidates were able to compute the correct answers and thus obtained full marks for this question.

Question 3(c) – 4 Marks

This question required candidates to compute the payback periods for two competing projects and determine which project should be accepted. Despite this being a typical question on computing payback periods for project appraisal, only one-third of the candidates were able to get full marks in this question.



Question 3(d) – 8 Marks

This question required candidates to describe the weaknesses of using the accounting rate of return and payback period as the primary investment selection criteria. Most of the candidates identified issues with ignoring the time value of money in these two methods. However, only a few candidates described other weaknesses of these two methods.

Question 4(a) – 2 Marks

This question required candidates to compute the net income based on the information given in the case. Around half of the candidates were able to correctly compute the answers. However, some candidates incorrectly deducted the dividend payment in order to arrive at the net income figure.

Question 4(b)(i) – 4 Marks

This question required candidates to calculate the return on equity (ROE) using the DuPont equation. Some candidates were not familiar with the DuPont equation and thus, did not score any marks in this question. In general, the answers were of an acceptable standard, and more than one-third of the candidates provided the correct ROE figure and scored full marks.

Question 4(b)(ii) – 3 Marks

This question required candidates to explain how a company can make use of the DuPont analysis of ROE to evaluate financial performance. Many candidates failed to gain many marks, mainly because candidates did not explain the use of the three ratios in the DuPont equation.

Question 4(c) – 4 Marks

This question required candidates to compute the internal growth rate. Performance on this question was exceptionally bad. Most of the candidates did not know the formula for the calculation of internal growth rate, and three-quarters of the candidates failed to gain any marks in this question.

Question 4(d) – 4 Marks

This question required candidates to identify and explain, without calculation, whether the internal growth rate should be higher or lower than the sustainable growth rate. Similar to Question 4(c), this was one of most poorly answered questions. Most of the candidates were not aware of the linkages between internal growth rate and sustainable rate. More than half of the candidates failed to gain any marks in this question.



(III) Conclusion and Recommendation

Candidates are advised to spend sufficient time to study all topics in the syllabus. As per the performance in Question 2 of section A, candidates did not understand the linkage between the three forms of market efficiency and the different types of information.

Additionally, overall performance in Question 4 of section B indicated that candidates have little knowledge about internal growth rate and sustainable growth rate. Candidates should familiarise themselves with the computation of these two rates and understand the difference between them.

Furthermore, candidates are also strongly advised to familiarise themselves with the calculation of the accounting rate of return, which is one of the typical approaches for project appraisals. Candidates should do more drills on the calculation of ARR on projects with different life spans.